Investor-Centric Risk-Profiled Stock Indices: Aligverse Nivesh

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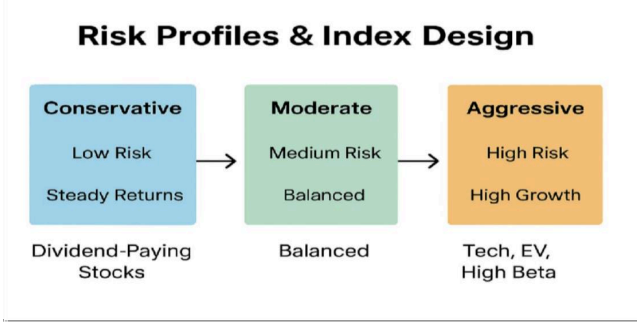
Understanding of the Core Problem

The current construction of major stock indices (e.g. SENSEX, NIFTY) is heavily reliant on market capitalization, liquidity, and sectoral representation. While effective for tracking overall market trends, this approach ignores the diverse risk profiles and objectives of individual investors. Consequently: A 25-year-old aggressive investor and a 60-year-old conservative investor end up tracking the same index, despite vastly different risk appetites and time horizons.The indices often favour large corporations seeking higher valuations rather than prioritizing investor welfare.Risk segmentation is missing; high-volatility stocks and stable dividend payers are bundled together without regard for individual investor preferences.Traditional indices are static, rebalancing infrequently and failing to adapt dynamically to changing market conditions or investor needs.

Our Investor-Centric Approach

We propose three distinct, risk-profiled indices designed to align with investor psychology and behavior:

1. Conservative Index
   Focuses on low-volatility, high-dividend-yielding stocks from sectors such as FMCG, utilities, and healthcare. ESG integration prioritizes stable, sustainable enterprises. Designed for investors emphasizing capital preservation and consistent income.
2. Moderate Index
   Provides balanced exposure to growth and stability through diversified allocations across IT, financials, and industrials. Employs volatility-controlled weighting utilizing historical beta and standard deviation metrics. Designed for investors seeking moderate returns with controlled risk.
3. Aggressive Index
   Emphasizes high-growth, high-beta stocks in technology, renewable energy, and emerging sectors. Implements dynamic quarterly rebalancing based on momentum, volatility, and market sentiment. Designed for investors pursuing higher risk for potential outsized returns.



Stock Selection & Weighting Methodology

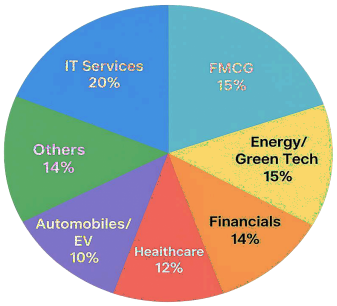
Selection Criteria:

1. 5-year CAGR ≥ 12% (historical growth).
2. Liquidity filters (minimum daily turnover).
3. ESG scores ≥ 75 to ensure sustainable investing principle.

Weighting Strategy:

1. Conservative: Dividend yield–weighted.
2. Moderate: Risk-adjusted (volatility) weighting.
3. Aggressive: Growth momentum–weighted with caps to avoid concentration risk.

Sample Sector Allocation: Moderate Investor Index



Sample Stocks:

Infosys (IT), Hindustan Unilever (FMCG), Reliance Industries (Energy/Green Tech), HDFC Bank (Financials), Tata Motors (Auto/EV), NTPC (Renewable Energy).

Innovation & Differentiation:

1. Dynamic Rebalancing: Indices will rebalance quarterly to adapt to evolving market conditions and investor needs.
2. Behavioral Indicators: Incorporation of sentiment analysis to adjust exposure during periods of heightened volatility.
3. ESG Integration: Alignment with global sustainable investing trends, ensuring responsible long-term growth.
4. Benchmarking: Comparison with MSCI Risk-Control Indices, S&P Conservative Growth Index, and NASDAQ Risk-Managed Indices to ensure global relevance.

Conclusion

Our investor-centric, risk-profiled indices offer tailored investment solutions that put investors' needs at the forefront. By addressing key pain points in traditional index construction, our approach empowers investors to align their investments with their personal risk appetites and financial goals. Aligverse Nivesh is committed to redefining index design for a smarter, more inclusive, and sustainable investing future.